Cambridge Assessment International Education

Cambridge O Level

CANDIDATE NAME									
CENTRE NUMBER						CANDIDATE NUMBER				

2804581628

BUSINESS STUDIES **7115/24**

Paper 2 Case Study **October/November 2022**

1 hour 30 minutes

You must answer on the question paper.

You will need: Insert (enclosed)

INSTRUCTIONS

- Answer **all** questions.
- Use a black or dark blue pen. You may use an HB pencil for any diagrams or graphs.
- Write your name, centre number and candidate number in the boxes at the top of the page.
- Write your answer to each question in the space provided.
- Do **not** use an erasable pen or correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 80.
- The number of marks for each question or part question is shown in brackets [ ].
- The insert contains the case study.

This document has **12** pages. Any blank pages are indicated.

© UCLES 2022

[Turn over

1 **(a)** Explain **two** reasons why KAT is at risk of failing.

Reason 1: .....

.....

Explanation: .....

.....

.....

.....

.....

.....

Reason 2: .....

.....

Explanation: .....

.....

.....

.....

.....

..... [8]

(b) Referring to Appendix 1 and other information, consider the advantages and disadvantages of KAT's **three** employees. Which employee should Kris and Anaa make redundant? Justify your answer.

Aamir: .....

.....

.....

.....

.....

.....

Samuel: .....

.....

.....

.....

.....

.....

Bilaal: .....

.....

.....

.....

.....

.....

Recommendation: .....

.....

.....

.....

.....

.....

..... [12]

2 **(a)** Explain how each of the stages of the business cycle may affect a business.

Growth: .....

.....

.....

.....

Boom: .....

.....

.....

.....

Recession: .....

.....

.....

.....

Slump: .....

.....

.....

..... [8]

(b) Consider the advantages and disadvantages of the following **three** methods Kris and Anaa could use to communicate with their employees. Which method should they choose if a taxi is needed urgently? Justify your answer.

•Mobile (cell) phone
•Email
•One-to-one meeting

Mobile (cell) phone: .....

.....

.....

.....

.....

.....

Email: .....

.....

.....

.....

.....

.....

One-to-one meeting: .....

.....

.....

.....

.....

.....

Conclusion: .....

.....

.....

.....

.....

..... [12]

3 **(a)** Explain **one** suitable objective for each of KAT's stakeholder groups.

- Owners
- Employees
- Customers
- Local community

Owners: .....

.....

.....

.....

Employees: .....

.....

.....

.....

Customers: .....

.....

.....

.....

Local community: .....

.....

.....

..... [8]

(b) Consider the following **three** methods of market research Kris and Anaa could carry out when choosing which new taxi services to introduce. Which method will be most useful to Kris and Anaa? Justify your answer.

- Online questionnaire
- Accessing government population statistics
- Focus group

Online questionnaire: .....

.....

.....

.....

.....

.....

Accessing government population statistics: .....

.....

.....

.....

.....

.....

Focus group: .....

.....

.....

.....

.....

.....

Conclusion: .....

.....

.....

.....

.....

..... [12]

4 **(a)** Explain **two** reasons why it is important for KAT to have sufficient working capital.

Reason 1: .....

.....

Explanation: .....

.....

.....

.....

.....

.....

Reason 2: .....

.....

Explanation: .....

.....

.....

.....

.....

..... [8]

(b) Referring to Appendix 3 and other information, consider KAT's **three** vehicles. Which vehicle should Kris and Anaa decide to sell? Justify your answer.

Vehicle A: .....

.....

.....

.....

.....

.....

Vehicle B: .....

.....

.....

.....

.....

.....

Vehicle C: .....

.....

.....

.....

.....

.....

Recommendation: .....

.....

.....

.....

.....

.....

..... [12]

BLANK PAGE

© UCLES 2022

BLANK PAGE

© UCLES 2022

BLANK PAGE

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of Cambridge Assessment. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which is a department of the University of Cambridge.

© UCLES 2022